Super tax hike may force early retirement of skilled workers



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Labor's controversial tax hike on $3 million superannuation balances might fall short of the government's revenue targets and could force the early retirement of high-skilled workers, as economists warn the policy undercuts Treasurer Jim Chalmers' productivity agenda.

The warning comes as the Productivity Commission opens consultation on Monday into whether Australia's 30 per cent company tax rate should be lowered to drive higher productivity, highlighting a growing

debate over whether current tax settings are hindering economic growth.

Chalmers has nominated improving productivity as the priority [https://www.afr.com/link/follow-20180101-p5lx9u] of the Albanese government's second term. The Australian economy has recorded no productivity growth in almost a decade, close to the worst performance in the developed world.



Labor's tax hike on $3 million superannuation balances is the government's key revenue raising measure in its second term. **Bryan Cook**

Peter Downes, Outlook Economics director

and a former Treasury modeller, said there was a tension between Chalmers' productivity agenda and his proposal to increase the earnings tax on superannuation balances above $3 million to 30 per cent from 15 per cent.

The measure, which would initially apply to about 80,000 people, could lead to the early retirement of highly skilled, high-income workers, Downes told *The Australian Financial Review*.

"The trade-offs between continuing working and retirement become sharper as you get older, so the marginal excess burden of the change could potentially be very high," Downes said, referring to the common measure for the economic cost of a tax.

"How do you raise productivity? Stop doing things that lower it."

The superannuation tax hike is Labor's major revenue-raising initiative [https://www.afr.com/politics/federal/super-tax-grab-set-to-be-shelved-until-after-election-20241125-p5kt76] for its second term of government and is forecast to rake in $2.3 billion a year initially.

Full coverage: Labor's super tax

- Why you should think twice about trying to avoid the super tax [https://www.afr.com/wealth/superannuation/why-you-should-think-twice-about-trying-to-avoid-3-million-super-tax-20250508-p5lxlx]
- 5 strategies to deal with the increase [https://www.afr.com/wealth/personal-finance/5-strategies-to-deal-with-labor-s-3m-super-tax-increase-20250506-p5lx0v]
- Chalmers remains defiant as pressure builds [https://www.afr.com/politics/federal/chalmers-defiant-as-pressure-builds-on-3m-super-tax-20250513-p5lynl]
- The little-known asset class set to soar [https://www.afr.com/wealth/superannuation/the-little-known-asset-class-set-to-soar-thanks-to-labor-s-super-tax-20250507-p5lx7b]

- Opinion: super tax is very smart, that's why it's so cruel [https://www.afr.com/wealth/superannuation/chalmers-super-tax-is-very-smart-that-s-why-it-s-so-cruel-20250512-p5lyc4]

It will raise billions more over time as inflation pushes hundreds of thousands more people above the $3 million threshold, which Chalmers has refused to index.

But Downes said he doubted the tax would raise as much as Treasury had forecast since people would rearrange their financial affairs to avoid it.

"If the treasurer is concerned about wealth and equity he would be far better off making a move on taxation of inheritance and large gifts, which will be huge as the wealth of the Baby Boomer generation is passed on," Downes said.

There is mounting opposition to the

government's move to tax earnings on superannuation balances over $3 million at 30 per cent rather than 15 per cent, including taxing unrealised gains. Chalmers intends to legislate the super tax from July 1. [https://www.afr.com/politics/federal/labor-pushes-ahead-on-super-tax-comeback-kid-wilson-promises-fight-20250507-p5lx6s]

Alarm over proposed tax settings

The Australian Financial Review reported on Thursday [https://www.afr.com/link/follow-20180101-p5lyqn] that wealthy retirees had begun selling assets and restructuring their investment portfolios to avoid Labor's planned tax rise.

Some high-income earners aged in their 40s have also stopped putting additional money into self-managed superannuation funds

because of the uncertainty caused by the Albanese government's proposed tax on unrealised gains, advisers said.

Downes said the compliance burden of the proposed $3 million tax seemed high.

"It seems to have opened up a can of unintended consequences. It probably needs to be sent back to Treasury for reconsideration and redesign," he said.

Meg Heffron, managing director of specialist SMSF advisory firm Heffron, said the government might have raised decent amounts of revenue if it confined the levy to realised gains.

"It would have felt fair and reasonable to many people, even those facing larger tax bills. The fact they have extended it to unrealised gains is the thing that is causing this panicked reaction," she said.

"Couple that with a tax that doesn't give you a refund for unrealised losses – just a loss to carry forward – and you have a unique set of circumstances that will encourage people to withdraw their money from super. If they do, who knows what revenue the government will receive."

"I think once it settles down, people will find themselves creeping over the $3 million threshold and getting surprised by it."

While the government could receive higher personal income tax revenue if people shift their assets out of the super system, Heffron said that extra tax would not arrive in the government's coffers anywhere near as quickly since traditional capital gains liabilities only arise when an asset is sold.

The Productivity Commission on Monday will open consultation on 15 priority reform

areas as part of five inquiries commissioned by Chalmers, including on the care economy, technology, the energy transition, skills and economic dynamism.

Chalmers said in a statement that he would not run with all the commission's recommendations, as the agency flagged its plans to investigate politically contentious areas such as company tax and climate policy.

"We'll consider the PC's recommendations within the context of the fiscal constraints we inherited and balance these against other government priorities."

The PC will seek opinions on whether Australia's corporate tax system needs to be overhauled to raise investment, either through changes to the 30 per cent tax rate itself or through changes to the company tax base.

The PC will also review whether the transition to net zero could be done more efficiently by scaling back some more expensive climate policies that cost as much as $20,000 per tonne of abatement, such as Labor's fringe benefits tax break for electric vehicles [https://www.afr.com/link/follow-20180101-p5lid1].

Asked about the effect of the super tax increase on productivity, a spokeswoman for Chalmers said Treasury took into account behavioural responses when it forecast the revenue that would be raised by the tax.

"There are still substantial incentives to keep money in a large super fund because the tax treatment is still very concessional compared to money outside the fund," the spokeswoman said.

Short-term shock

AMP chief economist Shane Oliver agreed it was possible that revenue could come in beneath Treasury's forecasts in the short term as people rearranged their affairs.

But he said it was possible that over the longer term it could raise more than expected since people who did not expect to pay the tax find themselves paying it.

"I think once it settles down, people will find themselves creeping over the $3 million threshold and getting surprised by it."

Sky News reported on Sunday morning that former state premiers and state MPs receiving generous defined benefit pensions will not be required to pay the government's controversial $3 million superannuation tax, according to the draft regulations underpinning the levy.

The draft regulations also said state

government ministers, members of staff of a state governor or state minister, the head of a state parliament department, the solicitor-general of a state, and the police commissioner would be exempt, provided they were receiving a defined benefit scheme.

In contrast, federal government public servants on defined benefit pensions will have to pay the tax, though the specifics about how their liability will be calculated are unclear.

Deputy Liberal leader Ted O'Brien said on Sunday the whole policy was a mess and a tax on aspiration.

"The super tax, it's super big, and it's super bad," O'Brien told Sky.

"If you want to buy a home, this will hurt you. If you want to have a start-up, this will hurt

you. If you want to work in a high-growth company, this will hurt you. If you want to invest in a high-growth sector, this will hurt you."

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